The Inflation Problem Nobody Is Watching Yet

Podcast: Know your risk

AI Executive Summary

1. Core Thesis: The primary thesis of the episode is that diesel acts as a pervasive intermediate input and "inescapable toll" on the global economy, yet it is being significantly underappreciated by markets, the Federal Reserve, and the broader macroeconomic narrative. While attention currently focuses on crude oil prices and interest rates, the host argues that diesel drives inflationary pressure across transportation, manufacturing, agriculture (irrigation and processing), and logistics to a degree ignored in current economic models and inflation expectations, potentially threatening the stability of an already levered US economy facing high debt costs and geopolitical escalation.

2. Key Arguments & Data:

3. **Market Performance:** S&P closed down 0.68% and Nasdaq down 1.7%; Small caps fell 1.26%. AI stocks saw mixed results, with Apple up ~1.5% while Meta down ~4.5%.
4. **Energy Prices:** Diesel prices rose significantly this week (inventory drawdown), though front-month oil futures closed roughly flat. Brent December was up 0.6%, while gasoline futures were up 1%.
5. **Supply Chain Metrics:** The CAS Truckload Line Haul Index grew 8.6% year-over-year, the highest in a decade excluding the COVID surge. New York Fed Global Supply Chain Pressure Index remains at levels not seen since 2016 or higher (except during the pandemic).
6. **Shipping Rates:** Baltic Dry Index is near a breakout to become the highest in ten years outside of the COVID period. Deep sea freight and rail transport PPIs are rising.
7. **Geopolitical Escalation:** UAE has cut off all financial transactions with Iran following alleged missile attacks; the host argues this creates a powder keg where Iran could retaliate by attacking energy infrastructure, shifting the US strategy from war to an economic siege which carries high inflation risk.
8. **Fed & Inflation Expectations:** The Fed continues to forecast 2% or lower long-term inflation despite diesel prices correlating with food

prices (New Zealand policy rate chart overlay). Market-based inflation swaps do not price in the likelihood of a significant diesel-driven inflation spike.

9. **Historical Comparison:** The host compares current conditions to late 1999, noting that interest rate shocks eventually broke the tech bubble then, just as they will likely break through now if high rates and high energy costs converge.

10. Actionable Takeaways:

11. **Monitor Diesel Prices Closely:** Treat diesel prices as a superior proxy for underlying inflation compared to headline metrics like PCE, as it impacts food logistics, manufacturing production, and services (e.g., repairs, landscaping) more than core CPI suggests.
12. **Track Supply Chain Indices:** Keep watch on the CAS Truckload Index, shipping rates, and rail transport data as early indicators of cost passthrough from producers to consumers.
13. **Assess Equities Risk:** Be cautious regarding equity sectors that are highly dependent on energy logistics or manufacturing (such as software/AI companies relying on diesel backups for AI compute) given the potential inflationary shock.
14. **Watch Debt-to-GDP Ratios:** Recognize that current US debt servicing costs are significantly higher than in 1999; rising rates combined with fuel-driven inflation could exacerbate economic stress.

Full Transcript

The most important point I'll make today is to say diesel is a pervasive intermediate input. So it's an inescapable toll on everything that moves. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

Welcome back to another edition of the daily dots chase flying solo with you again here on Tuesday August 18th I'm gonna talk really kind of honestly just about one particular thing today a little bit of the war of date as usual, but so markets a little war of date and then We'll spend some time talking about diesel is what I wrote about this past weekend And it's something that to me markets are sort of sleeping on in a way So we'll talk about that. S&P closed the day down 0.68%. I think we are starting to see like oil and rates start to bite a little bit here on the market. We had a very notable kind of breadth breakdown today as far as stocks making new lows versus new highs, stuff like that.

Cues were down 1.7% so pretty ugly there still above the 50 days So it's not like we're you know crashing or breaking down back down again or anything like that same with same with SPP You broke above I Broke below the range we had been in kind of since August 5th But you know, we're we're still above the kind of breakout levels of around like 756 and 57 on SPY so Nothing major, you know, there's some downside here I see some reasons that personally that this could persist, but as of now, no big deal as long as rates can somehow calm down or it can calm down, but we'll see if we'll see what's in store for those. Small caps are down 1.26%. Mac 7 was

down 0.9. All-world XUS down 1.65. The dollar's pretty flat. So ugly day for XUS. As far as Mac 7 went, you had meta down about 4.5%. You had uh, and video down over two Really the only thing you had on the good side was apple and we're kind of back to that ai bad apple good So apple was up about one and a half percent and as i'll touch on here in a second ai was very un good for the day Um, you're flat on the two year down about two basis points on the 10 and about two three on the 30 At one point though, we were up to five point three three percent on the on the 30 year closed about 5.29. So we backed off a good bit from the day's highs. But interestingly, that didn't really help stocks recover at all. Oil closed down about half percent on the front month, but you get out to the December contract and you're up half percent, but you get a new high. Brent was up a little bit. Brent December was up 0.6. So in gasoline futures up 1%, you had diesel.

As we're going to talk about more kind of Going up a lot already this week and the early look at the inventory data is going to be another draw for diesel, which is Very unwelcome right now Gold was down 1% silver down 3.3 gold miners down 3.2 Platinum palladium both down over 3% So like again, you kind of having this foils foils doing good at different periods. Nothing else is Especially if you know rates are creeping higher DRAM was up or down almost 9% SMH the chip ETF was down over four And then he had stuff like bloom energy down like 10% So just brutal day for the AI trade that took some stuff with it on the flip side You have things like Apple and software doing doing better As far as single names stuff that jumps out I like to kind of flip through portfolio. They like I say like yeah, I'll be bottle up almost three adobe up three and a half. And this stuff has been getting beat up lately as the AI trade started to pick back up. Um, biotech up a little bit, which is, you know, a day like today, pretty, pretty useful. Uh, Korean defense had an ugly day and getting, getting, you know, bucketed with AI stuff down like 6% added a tiny bit to that. Um, yeah, toast up Etsy, uh, like again, you just have all of these relationships that are for whatever reason, continuing to hold.

And by forever reason, I mean, much people probably have giant parachutes on, you know, for still short software to go with their AI longs. As far as the war goes, another day and another, you know, vessel attacks,

there were missiles allegedly shot at the UAE that led the UAE to basically cut off all financial everything with. Iran they basically said no more trade no more financial transactions whatsoever Iran denied shooting missiles at them, although It's not really that hard to figure out where those came from. So if they're if they're lying like it won't be difficult to figure that out It's possible to who these did or something, but it was probably Iran But that's a big deal like they There's a lot of bilateral trade and finance between those two countries of the way serious and they pull it all out that will definitely hurt Iran on the flip side though is One of the reasons they probably haven't been hitting the UAE that much of late other than you know, the wars just chilled out some is The fact that that stuff was going well. There's even been multiple government aircraft flown from the UAE into Tehran that a lot of people were speculating was bringing money. But, you know, the ad knock had had multiple of their ships hit in the straight recently. And that's just, you know, that's state, state company from the UAE. So that I think that probably made them mad, right? So if they were, if they were giving some money to Tehran or just, you know, even if not just turning a blind eye to some of the sanctions evasions running through the banking system, whatever the case may be.

So if they cut them off for real, that is a big deal for Iran. But the problem for the UAE would be that could turn into a situation where Iran's like, hey, cool, until you reinstate all that, we're going to start blowing stuff up. Not just ships, but on land. We'll see how that goes. I have no idea. All I know is that is going to add some added pressure to Iran. And speaking of the pressure, clearly the US strategy is pivoting from you know a war strategy to a economic siege strategy and I already talked about this a good bit so I won't belabor it too much but The problem with this whole like out. We don't need to do the war. We don't need to talk to them We'll just you know hurt their economy slowly the problem with that other than the basic You know time is against us as long as we're in oil deficits because the inflation and the bond yields and everything that's gonna come with that You know, we're a very levered economy. We're very levered asset prices Frankly, we're very levered to a low inflation world Iran can take measures to upend all those things in a way that you know, it's not linear. So We have really serious You know kind of Open, you know, our chins wide open to that stuff like there's there's not much we can do to defend against You know a surge

in inflation what that would mean for for our economy for our markets So I continue to Frankly not understand why that that is being sold as a viable strategy in DC right now, but it but it that seems to be where everyone's at I think Iran will probably whether it's making a run at you know the The blockade or like I talked about yesterday or you know perhaps more obvious just just hitting some more energy infrastructure to Throw you cannot count punches. Um, but yeah Another day of them, you know launching attacks in the straight another day of not much getting through the straight So all that continues to get tighter We you know, I mentioned yesterday will broke out yesterday There were some follow through today on that December contract not big today. Obviously, you know half percent's not a big deal but But to me between rates and oil Both are getting pretty close to where if you don't hold them back, they're going to start doing economic damage Especially if they work together especially rates. We've had 80, 90 oil before. It's not really that big a deal. We've not necessarily had 5.50 diesel for any meaningful stretches of time. So that's a different story for sure. But we've weathered oil up here. Problem is, it's been a long time since we've had to weather rates up here. And the last time we had to weather rates up here, debt to GDP was cosmically smaller than it is now. The interest On the debt, the financing cost there was way smaller than it was now. It is now you're over 3%. We pay more interest than we do, you know, the defense budget, like that stuff is already acute. So the rates keep climbing higher, that it just gets worse. But I'll pivot to talk about diesel.

because I think it's really important and I think it's being, it's not like no one's paying attention to it or no one's talking about it. I don't wanna act like that, but what I will say is I think markets are missing the importance. The reason I say that and I think the Fed's missing the importance. A lot of people in the Fed still have their forecast. Like don't worry about inflation's gonna come down from here. Sure, that might be a little like energy inflation or food inflation. We can ignore it, just supply shocks. even though it's not a supply shock. The problem with this is diesel reaches out and touches everything at the end of the day. And as it hits transportation, inflation, everything that needs to get moved has inflation hit it and not just that. So in this last piece of this last week, I kind of looked at like, man, I haven't done a deep dive in like the supply chain and the pressures and

transportation and stuff. So I went and looked and sure enough, numerous, numerous different things I measure, keep track of, were basically the highest they've been in the last 10, 20 years, other than the crazy COVID surge, which we know was really, really inflationary. So whether that's flatbed rates, van rates, trucking rates, you can look at shipping rates coming from China, there are the intermodals and ones big for me because that's, it touches the sea, it touches rail, it touches trucks. Not only is the price moving a lot higher for all that stuff, but the volumes are high. The economy is growing strongly at least for the moment. You have high nominal growth, which means that you can pass along those prices. Because if you're in a bad growth environment and you have high energy prices, a lot of companies just have to just eat the margin problem and deal with it. That's not good necessarily because a lot of times that leads to layoffs and a down cycle. I think it's ugly, but if you can pass it along, you pass it along. And we know with 7% nominal growth or whatever, you can pass it along. But that's not good for the inflation side, right? The CAS truckload line haul index, which is one that a lot of people have historically watched. You look at that thing on a year of year basis, suddenly growing 8.6%, again, highest and the last.

you know, decade other than the crazy surge. You look at the PPIs for rail transport, air transport, deep sea freight transport, all that kind of stuff is starting to really move higher truck transport. I mentioned like, you know, Shanghai to LA, other than one other little surge, the only time it's been higher in the last decade was it was COVID. And you can see like looking at, you know, the manufacturing data, which you know, it's brutal for many years, but it's really, it's really picked up, you know, delivery times are getting wider, new orders compared to inventories are, are kind of really close to the best advances to COVID surge or going back to like, you know, 2017, something like that. So that all, that's all inflationary pressure is that stuff tightens up. The New York Fed actually has a global supply chain pressure index. And that is higher, as high as it's been going back to, you know, 2016 other than again the COVID period. So it really says a lot about where you're at there. Internet truck stop, they have a market demand index, same thing, highest of the last decade outside of COVID. Although to be fair to that one, it has pulled back a little here in the last few weeks. The Baltic dry index, very close to a breakout that would be the highest in the

last decade other than COVID. The most important point I'll make today is is to say diesel is a pervasive intermediate input. So it's an inescapable toll on everything that moves. So if you have higher costs for logistics, production, delivery of your goods or service, maybe your goods and your service has nothing to do with energy. But you have to pass along those costs to move that stuff or maybe sometimes to produce it because if you produce things, your manufacturer, the chances are you need power. You may need literal You know diesel and inter process. I mean just look at ai a lot of ai stuff is getting Getting powered for the moment by diesel generators or they at least have diesel generators, you know as backups, which is a big deal Food is one that creeps me out mostly because of the which I thought about doing a whole show on On the super on linear we have there could be a 500 year event as far as how bad the El Nino is So that puts its own pressure obviously on food and you see it with with sugar ripping of late rice. And then the grains have started to move. Coffee looks like it wants to break above a bull fly all of a sudden. So it has its own problems from weather. But then again, you go back to the plastics for packaging. Fertilizers, sulfur shortages, all these things because of the straight. Again, straight's not just oil. You have chemicals, fertilizer, sulfur, and all kinds of other stuff that go through there. That food inflation feels like...

it could be a bit of a powder keg moving forward. Not all for diesel, but diesel does play a role. I saw a great chart on Bloomberg. They have an overlay that's actually highlighting a New Zealand policy rate stuff, but showing the price of diesel and the price of food. It's basically the same chart, like they just moved together. So diesel will help bring spot agriculture prices higher, which is going to make food inflation go up. So, if you have that food inflation, that energy inflation, and then again, that diesel touches everything inflation, that leaks over into core, it leaks over into underlying, it leaks over into trim to mean or whatever nonsense Kevin was going to pretend to be watching to escape the fact that headline PCE is going to be 4% or whatever. Farm machinery usually runs on diesel. Irrigation pumps often run on diesel.

Trucking the food around runs on diesel processing logistics often runs on diesel So the food inflation part of this simply watch it's not just that like

services or many services we had Sceptic folks out as you probably remember hearing on the show a couple weeks ago last week whatever it was They raised prices like they take the guy told me like hey like just so you know the price for the service calls is higher than it was last time That is basically like a fuel surcharge at this point it's not just that any home repair stuff moving obviously is going to be more expensive plumbing landscaping all forms of construction especially if you're doing shingles that are made out of oil like a lot of energy and petroleum goes into products paints and everything like you name it right um so diesel just on its own is going to basically reach out and touch everything and The reason I say I don't think the market's taking that into account is for one thing, you can see it and rate hike expectations. That stuff has moved more with oil than has diesel, which is dumb because diesel is the price we all pay for this way more so than just crude oil. Obviously 100 diesel cracks spreads are nuts and they won't stay there forever. So it's not crazy for the Fed to on some level look through that, right?

But as it becomes a core inflation problem and underlying inflation problem, they can't ignore it because they can't ignore inflation expectations if they start to really pick up. But that's where the market gets this stuff most wrong to me is you look at inflation swaps, you look at inflation expectations, especially the market-based stuff. Some of the survey-based stuff is pretty high. But if you just look at the inflation swap, which is no kidding, a market thing that you can trade, well, fancy people can trade, like not me, but that's up saying like, oh, like inflation is going to be like maybe 2% at most a year from now. And I'm looking over at diesel going, there's no chances under 2% unless we're in, you know, a recession, which I don't think that's what the market's betting on here, obviously given the AI CapEx boom and everything that has everyone fired up that has, you know, this quarter's current growth at 4%. So like, that's obviously not where the market's at. I think the market is just sleeping on the fact that Diesel will reach out and touch a lot of prices. It's not like it's just diesel like we have Net immigration that's flat enough to keep the labor market tighter than it seems like it should be which is I think where we're obviously at we have tech inflation which we really never have but Whenever you have an arms race for chips and memory like well, you get some tech inflation Goods are usually in disinflation. It's usually something you can count on to keep the

number higher Or keep the number down, but you know what with tariffs we don't have that we have some good inflation Like really the only saving grace we have is rents, which is a really really big saving grace for headline, you know, CPI for sure, but If the only thing you have is rents That's Especially from a piece PCE perspective and some of those underlying and core measures like that's not that much of a It's not that much of a help. So the thing I'll leave you with today is just to say Keep an eye on diesel and majority's keep an eye on diesel prices because they're they're bigger player in inflation and in the macro economy moving forward that I think markets are anticipating Now maybe rates on some level I can sniff that out in a way that apparently nothing else can but That's just this is something I would are keeping the back back your head and Something that policy is gonna have to start doing something about quickly you know, the price of fuel and the price of 30 and 10-year, you know, sovereign money are things that are going to get more acute if they don't fix them. And it's going to be something that, in my opinion, equity markets aren't going to be able to ignore. If you go back then, the last time we had the 10-year rip like this was basically in 1999. It took a few weeks, took a few months, you could say, for it to kind of start feeding through into the economy enough to break, you know, the tech bubble, but it did like.

most equity, serious equity drawdowns in history had a rate shock associated with them. I think people forget that. Now, sometimes those were from rate hiking cycles, but sometimes it was just like the backend was concerned about something, usually inflation, but something. So to see the backend doing what it's doing, to see the market is seeing one as it is, doesn't make sense to me. Those two things don't go together. That's all I got for today. Back tomorrow with more. Don't forget to get down and subscribe, knowyourriskpodcast.com. Check us out on YouTube and if you like the show, tell more people about it. All right, cheers.